

How Does the DIY Solution Perform?

Our simulated time period is from January 1, 1992, to December 31, 2014 (limited due to international data limitations).³ Benchmark and strategy results are gross of management fee and transaction costs for illustrative purposes only. One would want to consider the effects of transaction costs and taxes when deploying this strategy in a real-world environment. All returns are total returns and include the reinvestment of distributions (e.g., dividends). Portfolios are annually rebalanced. MA and TMOM risk-management rules are applied on a monthly basis.

The following nine asset classes are used in the study that follows:

- SP500 = SP500 Total Return Index
- EAFE = MSCI EAFE Total Return Index
- REIT = FTSE NAREIT All Equity REITS Total Return Index
- GSCI = GSCI Index (commodities)
- LTR = Merrill Lynch 7–10 year Government Bond Index⁴
- Simple Value = Top decile of US firms sorted on EBIT/TEV as described in [Chapter 8](#)
- Simple MOM = Top decile of US firms sorted on past Momentum as described in [Chapter 8](#)
- Simple Int'l Value = Top decile of International firms sorted on EBIT/TEV as described in [Chapter 8](#)
- Simple Int'l MOM = Top decile of International firms sorted on past Momentum as described in [Chapter 8](#)

Benchmark Summary Statistics

We first examine the performance of simple momentum and value portfolios relative to buy-and-hold market-cap weighted portfolios (the details on the construction of these portfolios are outlined in [Chapter 8](#)). The results in [Table 9.3](#) show that domestic value and momentum clearly outperform the buy-and-hold index over the 1992 to 2014 time period (these strategies also outperform in prior periods). These summary statistics